

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 22-11

**AENEAS EXPORTING LLC
CLAIMANT**

v.

**HONEYBEE INTERNATIONAL, INC. AND
ALL AMERICA SHIPPING
RESPONDENTS**

**JOINT MOTION FOR APPROVAL OF SETTLEMENT AGREEMENT AND
DISMISSAL WITH PREJUDICE**

Claimant, Aeneas Exporting LLC ("Aeneas"), in pro per, and Respondents, Honeybee International Forwarding, dba Honeybee International, Inc ("Honeybee") and All California Auto Parts Inc., erroneously sued herein as All America Shipping ("All America"), through their counsel, hereby jointly move for approval of the Settlement Agreement and Mutual Release attached hereto as Exhibit A ("Settlement Agreement"); and upon approval of the Settlement Agreement, Aeneas, Honeybee and All America further move for dismissal *with prejudice* of Aeneas' complaint against Honeybee and All America in FMC Docket No.22-11. Aeneas, Honeybee and All America submit that the proposed Settlement Agreement meets the Federal Maritime Commission's criteria for approval of settlement agreements and therefore should be approved. Aeneas, Honeybee and All America are sometimes collectively referred to herein as the "Parties."

I. INTRODUCTION

On April 8, 2022, Aeneas filed its complaint against Honeybee and All America in the Federal Maritime Commission ("Commission") for violations of the 46 U.S.C. §41102(c), 46 U.S.C. §41104(a)(3) and 46 CFR §545.4, Fraud and Coercion. As relief for theses alleged violations and causes of action, Aeneas sought damages and injunctive relief.

In the FMC Proceeding, Aeneas believes that it would prevail on the allegations set forth in its Complaint. Honeybee and All America believe that they would defeat the allegations set forth in the Complaint.

Notwithstanding these beliefs, the Parties recognize that when the claimed damages are compared with the expected remaining costs of this litigation and the inherent uncertainties of litigation, with the assistance of the FMC mediator, the Parties agreed to conduct settlement discussion to see whether the matter could be resolved. The Settlement Agreement that accompanies this Motion is the result of the mediator directed discussions among the Parties and is submitted to the Presiding Officer for approval.

II. AUTHORITY FOR SETTLEMENT

The Administrative Procedure Act ("APA"), 5 U.S.C. 554 (c)(1), requires agencies to give interested parties an opportunity to submit offers of settlement "when time, the nature of the proceeding, and the public interest permit." The legislative history of the APA shows that Congress intended this provision to be read broadly so as to encourage the use of settlement in proceedings such as the instant one proposed by Aeneas, Honeybee and All America:

... even when formal hearing and decision procedures are available to parties the agencies and the parties, are authorized to undertake the informal settlement of cases in whole or in part before undertaking the more formal hearing procedure. Even courts through pretrial proceedings dispose of much of their business in that fashion. There is much more reason to do so in the administrative process, for informal procedures constitute the vast bulk of administrative adjudication ... The statutory recognition of such informal methods should strengthen the administrative arm and serve to advise private Parties that they may legitimately attempt to dispose of cases at least in part through conferences, agreement, or stipulations.

Senate Committee on the Judiciary, Administrative Procedure Act Legislative History, S. Doc. No. 248, 79th Cong., 2d Sess. 24 (1946).

The Commission has a strong policy in favor of settlements. *See Old Ben Coal Company v. Sea-Land Service, Inc.*, 21 FMC 506, 512 (1978) (It is "well settled that the law and Commission policy encourage settlements and engage in every presumption which favors a finding that they are fair, correct, and valid."). The Commission has long recognized that the

resolution of controversy by means of settlement is faster and cheaper than litigation for all parties involved. *Id.* The rule that codified the Commission's strong policy in favor of settlement is Rule 91 of the Commission's Rules of Practice and Procedure. 46 CFR §502.91(b) provides:

Where time the nature of the proceeding and the public interest permit, all interested parties shall have the opportunity for the submission and consideration of facts, argument, offers of settlement, or proposal of adjustment, without prejudice to the rights of the parties.

The standard pursuant to which the Commission routinely approves settlement of disputes between parties was well said by the Presiding Judge in *American Stevedoring, Inc. v The Port Authority Of New York And New Jersey*, 2011 WL 7144009 (FMC 2011):

[I]f "a proffered settlement does not appear to violate any law or policy and is free of fraud, duress, undue influence, mistake or other defects which might make it unapprovable despite the strong policy of the law encouraging approval of settlements, the settlement will probably pass muster and receive approval." "[I]f it is the considered judgment of the parties that whatever benefits might result from vindication of their positions would be outweighed by the costs of continued litigation and if the settlement otherwise complies with law the Commission authorizes the settlement." (Internal citations omitted).

Potential costs and uncertainties of success are also valid factors to be considered, both in negotiations of settlement and in review of a settlement agreement. *Investigation of Unified Agreements - Yangming Marine Transport, Evergreen Marine Corporation and Orient Overseas Container Line, Inc., Order Adopting Initial Decision*, 24 SRR 910 (FMC 1988). *See also Atlantis Line, Ltd. v. Australia New Zealand Direct Line*, 25 SRR 557 (ALJ 1989) (settlement was approved in accordance with general Commission policy of settlement, and due to the concomitant avoidance of undue and unnecessary expenses and expenditure of working time).

III. BASIS FOR SETTLEMENT

In line with the APA and the Commission's standards, the proposed settlement here is to be evaluated against litigative probabilities, litigative and administrative costs, and such other matters as justice may require.

As discussed above, there are bona fide disagreements between Claimant and the Respondents as to certain facts and legal issues. Although each side is confident it would prevail, the outcome of any litigation is uncertain. In view of the litigative probabilities and the

probability that this proceeding will continue to be time consuming, and costly, the proposed Settlement Agreement, which dismisses all FMC claims with prejudice, would save all Parties time and expense.

The Parties have reviewed the relevant documents, engaged in discussions and negotiations, and have determined that the mutual concessions made fairly address the outstanding issues between them. Under the Settlement Agreement, the Parties have made a mutual agreement that represent, in their view, a fair and reasonable resolution of the dispute. The Parties have engaged in negotiations facilitated by a FMC mediator. In short, there is no evidence of fraud, duress, undue influence, or mistake or harm to the public. Therefore, as these Parties no longer wish to litigate the issues of the Complaint, the Claimant and the Respondents submit that the litigative probabilities, and savings in potential litigative and administrative costs, favor approval of the Settlement Agreement.

IV. CONCLUSION

For the reasons stated above, the Settlement Agreement meets both the Commission's criteria for approval of agreements for settling administrative claims and the general administrative law criteria. Thus, it should be approved.

DATED: October , 2022

Respectfully submitted by:

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Parts Inc.

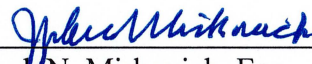
IT IS SO ORDERED

Erin M. Wirth
Administrative Law Judge
Date:

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 31st day of October, 2022, a true and correct copy of the foregoing **JOINT MOTION FOR APPROVAL OF SETTLEMENT AGREEMENT AND DISMISSAL WITH PREJUDICE** was served via electronic mail on:

Anis A. Houssein (Shipping.manager@aeneasexporting.com)



Joseph N. Mirkovich, Esq.

EXHIBIT A

SETTLEMENT AGREEMENT AND MUTUAL GENERAL RELEASE

THIS SETTLEMENT AGREEMENT AND MUTUAL GENERAL RELEASE (the "**Agreement**") is entered into as of October __, 2022 by and between Aeneas Exporting LLC, an Indiana LLC ("AENEAS"), on the one hand, and Honeybee International Forwarding, a California corporation dba Honeybee International, Inc., ("HONEYBEE") and All California Auto Parts Inc., a California corporation, erroneously sued as All American Shipping ("ALL AMERICA") on the other hand. AENEAS, HONEYBEE and ALL AMERICA are sometimes collectively referred to herein as the "Parties."

I. RECITALS

A. On April 8, 2022, AENEAS filed a complaint against HONEYBEE and ALL AMERICA in the Federal Maritime Commission for violation of the Shipping Act and reparation award ("FMC Proceeding"). The FMC proceeding was entitled *Aeneas Exporting LLC v. Honeybee International Inc., and All America Shipping* and bears the Docket No. 22-11.

B. The events giving rise to the FMC Proceeding are set forth in the FMC Complaint and occurred during and after November, 2021. These events are related to HONEYBEE's transportation-related activities as an ocean transportation intermediary and ALL AMERICA's activities as a storer and warehouse of vehicles.

C. In exchange for the consideration described below, the Parties desire to compromise and settle (a) all claims, demands, and causes of action that are alleged in the FMC Proceeding; and (b) all claims, demands and causes of action which could have been alleged in the FMC Proceeding or in any other Action or Proceeding; and Parties desire to dismiss the FMC Proceeding with prejudice on the terms and conditions set forth herein.

NOW, THEREFORE, in consideration of the premises set forth above, and of the mutual covenants contained herein, and for other good and valuable consideration, the receipt and adequacy of which are hereby acknowledged, the Parties hereby agree as follows:

II. AGREEMENT

1. Payment by HONEYBEE and ALL AMERICA The settlement sum is in the total amount of Four Thousand Five Hundred Dollars (\$4,500.00)("Settlement Sum"). Within ten (10) days following the Administrative Law Judge's approval of this Agreement, HONEYBEE, on its behalf and on behalf of ALL AMERICA, shall wire transfer the sum of Four Thousand Five Hundred Dollars (\$4,500.00) to AENEAS' bank account.

2. Joint Request for Dismissal. Concurrent with the execution of this Agreement, the Parties shall also execute a Joint Motion for Approval of Settlement Agreement and Dismissal *with prejudice* . .

III. RELEASE

3. Mutual General Release of All Claims in the FMC Proceeding. The Parties, for themselves and their respective agents, employees, members, shareholders, partners, officers, directors, parents, subsidiaries, affiliates, attorneys, successors, and assigns, hereby forever generally release and discharge each other, and each of the other's respective past or present agents, employees, officers, directors, shareholders, parents, subsidiaries, affiliates, and attorneys from any and all causes of action, claims, losses, promises, damages, costs, expenses, liabilities and demands of whatsoever character, nature and kind, known or unknown, suspected or unsuspected, fixed or contingent that are alleged or could have been alleged in the FMC Proceeding or in any other Action or Proceeding.

IV. MISCELLANEOUS

4. All Parties to Bear Own Costs and Attorney's Fees. All Parties shall bear their own attorneys' fees and costs incurred in connection with this Agreement and the transactions contemplated hereby.
5. Attorney's Fees to Prevailing Party. In the event of future litigation in which this Agreement is asserted as the basis for a claim or a defense, including claims for breach of this Agreement and/or actions to enforce the terms of the Agreement, the prevailing party shall be entitled to recover its reasonable attorneys' fees and costs incurred in connection with the litigation.
6. Warranty of Claim Ownership and No Transfer. The Parties hereto each hereby represent and warrant to the other that they own the entirety of the rights and claims being released hereby and that they have not sold, assigned, transferred, conveyed or otherwise disposed of any right or claim covered or released by this Agreement.
7. Binding Upon Successors. This Agreement and the related documents and agreements referenced herein shall be binding upon and inure to the benefit of the Parties hereto and their respective representatives, successors and assigns.

8. Entire Agreement. This Agreement represents and contains the entire agreement and understanding between the Parties with respect to the subject matter of this Agreement, and supersedes any and all prior or contemporaneous oral and written negotiations, agreements and understandings. No representation, warranty, condition, understanding or agreement of any kind with respect to the subject matter hereof shall be relied on by the Parties except those expressly contained herein.
9. Amendments Only in Writing. This Agreement may not be amended or modified except by a written agreement signed by all Parties. No breach of any provision of this Agreement can be waived unless in writing. Waiver of any one breach shall not be deemed to be a waiver of any other breach of this Agreement or any other provision hereof.
10. Partial Invalidity. In the event that any condition or covenant herein is held to be invalid or void by any court of competent jurisdiction, the same shall be deemed severable from the remainder of this Agreement, and shall in no way affect any other covenant or condition contained herein. If any condition or covenant is deemed invalid or void due to its scope or breadth, such provision shall be deemed valid to the extent of the scope or breadth permitted by law.
11. Choice of Law. This Agreement is made pursuant to, and shall be governed by, the laws of the State of California.
12. Choice of Forum. The Parties hereto expressly agree that any action to enforce the terms of this Agreement shall be brought in a court the County of Los Angeles, California.
13. No Reliance on Others. The Parties hereto represent and declare that, in executing this Agreement, they have relied solely upon their own judgment, belief and knowledge, as well as the advice and recommendations of their own independently selected counsel, concerning the nature, extent and duration of their rights and claims, and they have not been influenced to any extent whatsoever in executing the same by any representations or statements made or omitted to be made by the other parties hereto or by any person representing another party.
14. Joint Drafting. The Parties hereto hereby agree and acknowledge that this Agreement shall be deemed to have been jointly drafted by all the Parties hereto.
15. No Admission. The Parties hereto acknowledge and agree that this Agreement is not to be deemed an admission of liability by any Party.

16. Counterparts. The Parties agree that this Agreement may be executed in multiple counterparts, each of which shall be considered an original but all of which constitute one agreement. Where an original signature is not available, facsimile signatures shall be as good as originals.
17. Warranty of Authority. The signatories hereto warrant and represent to one another that they are authorized to execute this Agreement in the capacity or capacities indicated below and on behalf of each Party for whom or which such signature is provided and that such warranty and representation is a material inducement to the mutual execution of the Agreement. This warranty and representation shall survive full execution of and performance pursuant to this Agreement.

IN WITNESS WHEREOF AENEAS EXPORTING LLC, HONEYBEE INTERNATIONAL FORWARDING, dba HONEYBEE INTERNATIONAL INC. and ALL CALIFORNIA AUTO PARTS INC., have executed this Agreement on the dates set forth below.

AENEAS EXPORTING LLC

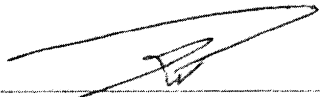
Dated: 10/31st/ 2022

By: 

Print Name: ANIS HOUSSEIN

HONEYBEE INTERNATIONAL
FORWARDING DBA HONEYBEE
INTERNATIONAL INC.

Dated: 10-31-2022

By: 

Print Name: Reda ALJabri

ALL CALIFORNIA AUTO PARTS INC.

Dated: 10-31-2022

By: 

Print Name: Reda ALJabri